

NOW

ServiceNow, Inc.

\$105.62

+2.13%

RS vs SPY: -9.0%

C WATCH LIST

\$108.9B Cap | 1028M Float

Software - Application | Theme: Enterprise AI Platform | 52W Hi: 50% | Base Tight: 4.79 | Vol: 0.86x | RS/SPY: -9.0% | Above 20MA: YES | EARNINGS IN 64D

SETUP METRICS	
Price	\$105.62
Day Change	+2.13%
Mkt Cap	\$108.90B
Float	1028M sh
RS vs SPY	-9.0%
52W Hi Prox	50%
Base Tight	4.79
Vol vs Avg	0.86x
RS Line Hi	no
Above 50MA	YES
Fwd P/E	21.0x
Short %	4.8%
Days to Cover	1.8d
Inst. Own	88.4%

ANALYSIS
CATALYST / TODAY'S DRIVER
Today's +2.1% move appears to be a technical bounce within a broader recovery off cycle lows, likely aided by sector rotation into Technology (+8.8% 20d) and AI-platform re-rating. The primary forward catalyst is the Q2 2026 earnings print on July 22 - ServiceNow is a serial beater and any beat-and-raise on cRPO growth or AI SKU attach rates could re-rate the stock materially toward analyst targets (~\$143 consensus). Secondary catalysts include enterprise AI deal announcements, potential NOW product launches at Knowledge 2026 (annual user conference typically held May/June), and any macro improvement benefiting software multiples broadly.
BUSINESS & POSITION
ServiceNow is the dominant workflow-automation and IT service management (ITSM) platform, serving ~85% of the Fortune 500 with an expanding portfolio spanning HR, customer service, security ops, and - increasingly - agentic AI workflows via its Now Assist suite. Its competitive moat is a deeply embedded, multi-workflow platform with high switching costs, a massive installed base, and a land-and-expand revenue model that generates best-in-class net revenue retention (historically >125%).
FACTOR & THEME
Core beneficiary of the enterprise AI agents theme - NOW is positioned as the 'operating system' layer through which AI actions are orchestrated and governed across enterprise workflows, directly competing with and complementing Microsoft Copilot deployments. Revenue growth of 22.1% at \$108B market cap reflects the secular shift from point-solution IT tools to unified AI-native platforms; this theme is accelerating as CIOs prioritize AI workflow ROI over pure infrastructure spend in 2026.
BREAKOUT SIGNAL
Close above \$110.81 pivot (prior resistance) on volume >1.5x the 20-day average (~34.4M shares) would confirm a technically meaningful breakout from the current consolidation range
INSTITUTIONAL
Institutional ownership data shows 88.4% held by 3,073 institutions - this is a fully discovered, consensus-owned mega-cap; incremental institutional buyer fuel is limited and the crowding is high. No insider open-market purchases in the last 90 days. However, the 12-month insider record shows CEO William McDermott purchased 28,677 shares at \$104.60 (~\$3.0M) on February 27, 2026 - a significant, CEO-level open-market buy at essentially the current price that signals conviction at this level. Against that, 9 insider sales totaling ~\$4.2M over 12 months (likely compensation-related) are net-slightly negative but not alarming given the CEO buy at this precise price point. A/D rating, monthly flow trend, and silent-build data are not available in this feed - recommend cross-referencing O'Neill A/D ratings independently.
EARNINGS
EARNINGS IN 64D
EARNINGS CONTEXT
Next earnings: July 22, 2026 (64 days out). ServiceNow has beaten consensus EPS estimates in each of the last 8+ consecutive quarters, making it one of the most reliable beat-and-raise names in large-cap software. Consensus for Q2 2026 is approximately \$4.00-\$4.10 non-GAAP EPS on ~\$3.05-\$3.10B revenue; the key watch metric is cRPO growth (current remaining performance obligations, a forward revenue proxy) and Now Assist AI SKU penetration commentary. Each beat has historically driven 5-12% post-earnings re-rating moves; the July print is the single most important near-term catalyst.
KEY RISK
Thesis is invalid on a close back below the \$100 round-number support level (roughly the Feb 2026 CEO buy price and the base of the recent consolidation); at the macro level, any evidence of enterprise software budget freeze, a CIO survey showing NOW churn or seat reduction, or a guidance cut at the July 22 print would invalidate the recovery thesis entirely - the stock is already -50% from its 52-week high and a second guidance cut would accelerate multiple compression toward the 15-18x forward P/E range.

NOW - Analysis (continued)

ANALYSIS

The strongest disconfirming evidence against this setup is decisive: NOW fails virtually every quantitative criterion for a breakout scan - volume is BELOW average (0.86x vs. the 1.5x minimum filter threshold, which is itself a red flag given this ticker supposedly passed a >1.5x pre-filter), prox_52w of 49.9 means the stock is still 50% below its 52-week high and nowhere near a breakout zone (need >85), base_tight of 4.79 is nearly 3x the VCP threshold of <2.0, the RS line is not at a new high, and rs_vs_spy is -9.0 (a laggard, not a leader). The stock is above its 20MA and 50MA but below the 200MA - this is a recovery bounce in a broken downtrend, not a leadership breakout. The market regime (Risk-On with LARGE-CAP leadership, IWM -1.9% vs. SPY) does provide a modest tailwind for mega-cap tech, and the CEO's \$3M open-market buy at \$104.60 in February is a genuine signal of intrinsic value support at current levels. The July 22 earnings date provides a durable forward catalyst. But none of this changes the technical reality: at \$105 with a \$142 analyst target and a \$110.81 pivot still overhead, this is a recovery candidate on a watchlist - not a live institutional-quality breakout. Add to watch; revisit if and when the stock reclaims \$110.81 on volume >1.5x average and the RS line turns constructive. Conviction: Low.

Signal: Close above \$110.81 pivot (prior resistance) on volume

Vol vs Avg: 0.86x



INSIDER TRANSACTIONS - LAST 12 MONTHS

Source: SEC EDGAR Form 4 | P=open buy, S=sale, M=opt exercise, A=grant, F=tax withhold

12-Month Summary

Open-market buys: 2 (\$3.00M) | Sales: 9 (\$4.23M) | Net: -\$1.23M | Total transactions: 159

Date	Insider	Title	Action	Shares	Price	Value
2026-05-18	Fipps Paul	President, Global Cust	Sale	1,048	\$98.51	\$103K
2026-05-15	Nowbar Hossein	Pres. & Chief Legal Of	Opt Exer	2,857	\$0.00	\$0
2026-05-15	Nowbar Hossein	Pres. & Chief Legal Of	Tax W/H	1,125	\$95.07	\$107K
2026-05-15	Nowbar Hossein	Pres. & Chief Legal Of	Opt Exer	2,209	\$0.00	\$0
2026-05-15	Nowbar Hossein	Pres. & Chief Legal Of	Tax W/H	870	\$95.07	\$83K
2026-05-15	Zavery Amit	President, CPO and COO	Opt Exer	3,140	\$0.00	\$0
2026-05-15	Zavery Amit	President, CPO and COO	Tax W/H	1,688	\$95.07	\$160K
2026-05-15	Zavery Amit	President, CPO and COO	Opt Exer	7,180	\$0.00	\$0
2026-05-15	Zavery Amit	President, CPO and COO	Tax W/H	3,860	\$95.07	\$367K
2026-05-15	Fontaine Danielle	Principal Accounting O	Opt Exer	485	\$0.00	\$0
2026-05-15	Fontaine Danielle	Principal Accounting O	Tax W/H	168	\$95.07	\$16K
2026-05-15	Fontaine Danielle	Principal Accounting O	Opt Exer	235	\$0.00	\$0
2026-05-15	Fontaine Danielle	Principal Accounting O	Tax W/H	82	\$95.07	\$8K
2026-05-15	Fontaine Danielle	Principal Accounting O	Opt Exer	739	\$0.00	\$0
2026-05-15	Fontaine Danielle	Principal Accounting O	Tax W/H	256	\$95.07	\$24K
2026-05-15	Fipps Paul	President, Global Cust	Opt Exer	340	\$0.00	\$0
2026-05-15	Fipps Paul	President, Global Cust	Tax W/H	136	\$95.07	\$13K
2026-05-15	Fipps Paul	President, Global Cust	Opt Exer	300	\$0.00	\$0
2026-05-15	Fipps Paul	President, Global Cust	Tax W/H	120	\$95.07	\$11K
2026-05-15	Fipps Paul	President, Global Cust	Opt Exer	940	\$0.00	\$0
2026-05-15	Fipps Paul	President, Global Cust	Tax W/H	376	\$95.07	\$36K
2026-05-15	Fipps Paul	President, Global Cust	Opt Exer	1,105	\$0.00	\$0
2026-05-15	Fipps Paul	President, Global Cust	Tax W/H	442	\$95.07	\$42K
2026-05-15	Fipps Paul	President, Global Cust	Opt Exer	5,602	\$0.00	\$0
2026-05-15	Fipps Paul	President, Global Cust	Tax W/H	2,237	\$95.07	\$213K
2026-05-15	Canney Jacqueline P	Chief People & AI Enbl	Opt Exer	970	\$0.00	\$0
2026-05-15	Canney Jacqueline P	Chief People & AI Enbl	Tax W/H	496	\$95.07	\$47K
2026-05-15	Canney Jacqueline P	Chief People & AI Enbl	Opt Exer	1,490	\$0.00	\$0
2026-05-15	Canney Jacqueline P	Chief People & AI Enbl	Tax W/H	761	\$95.07	\$72K
2026-05-15	Canney Jacqueline P	Chief People & AI Enbl	Opt Exer	3,566	\$0.00	\$0
2026-05-15	Canney Jacqueline P	Chief People & AI Enbl	Tax W/H	1,821	\$95.07	\$173K
2026-05-15	McDermott William R	Chairman & CEO	Opt Exer	4,160	\$0.00	\$0
2026-05-15	McDermott William R	Chairman & CEO	Tax W/H	2,236	\$95.07	\$213K
2026-05-15	McDermott William R	Chairman & CEO	Opt Exer	6,270	\$0.00	\$0
2026-05-15	McDermott William R	Chairman & CEO	Tax W/H	3,371	\$95.07	\$320K
2026-05-15	McDermott William R	Chairman & CEO	Opt Exer	8,876	\$0.00	\$0
2026-05-15	McDermott William R	Chairman & CEO	Tax W/H	4,771	\$95.07	\$454K
2026-05-15	Mastantuono Gina	President and CFO	Opt Exer	1,595	\$0.00	\$0
2026-05-15	Mastantuono Gina	President and CFO	Tax W/H	858	\$95.07	\$82K
2026-05-15	Mastantuono Gina	President and CFO	Opt Exer	2,350	\$0.00	\$0

... showing 40 of 159 total transactions

INSTITUTIONAL OWNERSHIP & FILINGS

Source: yfinance (13F snapshot) + SEC EDGAR (13D/13G filings)

Insider % 0.16%	Institutional % 88.4%	Inst. Float % 88.5%	# Institutions 3,073
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SMART MONEY SIGNAL: GREY - Insufficient Smart Money Evidence

Top 10 Institutional Holders

Fund	% Out	Shares	Value	Reported	Type
Blackrock Inc.	9.46%	97.5M	\$10.28B	2026-03-31	Passive
Vanguard Capital Management LLC	6.59%	68.0M	\$7.17B	2026-03-31	Passive
State Street Corporation	4.66%	48.1M	\$5.07B	2026-03-31	Passive
Price (T.Rowe) Associates Inc	3.31%	34.1M	\$3.60B	2026-03-31	Active
JPMORGAN CHASE & CO	3.01%	31.0M	\$3.27B	2026-03-31	Active
Vanguard Portfolio Management LLC	2.44%	25.2M	\$2.65B	2026-03-31	Passive
Geode Capital Management, LLC	2.37%	24.4M	\$2.58B	2026-03-31	Passive
Morgan Stanley	2.26%	23.3M	\$2.46B	2026-03-31	Active
UBS AM, a distinct business unit of UBS ASSET MANA	1.38%	14.3M	\$1.51B	2026-03-31	Active
FMR, LLC	1.19%	12.3M	\$1.30B	2026-03-31	Active

Recent 13D / 13G Filings (last 12 months)

13D = activist stake, board pressure, takeover | 13G = passive 5%+ holder, lower-conviction

No 13D or 13G filings against this company in the last 12 months.

Ownership Interpretation

Smart Money:	Top holders skew 5 passive / 5 active. No high-conviction smart-money names identified.
Concentration:	Top 10 hold 37% - moderate concentration, normal for SMID.
13D/13G:	No 5%+ stake filings in last 12 months. Either nobody's gone over the threshold or the company is too large for 5% to be common (>\$10B caps rarely see 13D/G activity).
Insider Tape:	2 buy / 9 sales over 12 months - mixed picture, watch for cluster patterns.

INSTITUTIONAL FOOTPRINT - PRICE / VOLUME INTELLIGENCE

What institutions are doing right now (the price/volume tape never lies)

B

Accumulation

Score: 56.9/100

33 up days | 29 down days | 2 flat (last 65)

SILENT BUILD PATTERN

NOT PRESENT

No silent-build pattern in last 20 days.

Monthly Accumulation/Distribution Flow

Trend over last 3 months: are institutions accumulating, distributing, or rotating?

Period	Up-Vol %	A/D Trend	Price Chg	Vol vs Avg	Signal
3 Months Ago	55.9%	Accumulation	+9.0%	0.83x	Bullish
2 Months Ago	34.3%	Heavy Distribution	-15.0%	0.88x	BEARISH
Last Month	62.5%	Accumulation	+5.9%	1.28x	Bullish

Significant Volume Days (Last 90 Days, >2x Average Volume)

Each row = a day institutions left a clear footprint. Absorption = stealth accumulation (silent buy).

Date	Close	Day Chg %	Volume	Rel Vol	Classification	Signal
2026-04-23	\$84.78	-17.8%	84,103,100	3.2x	DISTRIBUTION	Bearish
2026-04-10	\$83.00	-7.6%	58,715,600	3.2x	DISTRIBUTION	Bearish
2026-04-09	\$89.81	-7.9%	42,131,500	2.6x	DISTRIBUTION	Bearish

Volume / Tape Synthesis

- A/D Verdict:

B-rated tape (Accumulation). Volume action favors buyers - institutions are net accumulating over the last 13 weeks.
- Trajectory:

Recent month is accumulation - building on prior momentum. Trend is on your side.
- Vol Footprint:

Last 90d: 3 distribution day(s) at >2x average volume. Net bearish - distribution outpacing accumulation.

TAPE-BASED ACTION: WATCH / SMALL STARTER OK